

Do You Need a Prenuptial Agreement?

Prenuptial agreements may have a negative connotation, but nearly everybody could benefit from one. These agreements designate how your assets and liabilities will be handled in the event of a divorce, but can also be used to protect the interests of children from a previous marriage or spell out other important issues. If you plan to have children of your own, your agreement may contain arrangements for child support, education, or even religious upbringing.

Anybody who owns a business or professional practice, has received valuable gifts or inheritances, has a trust fund, owns a home, has a retirement plan, has substantial savings or investments, or wants to protect the inheritance of children from a previous marriage should draw up a prenuptial agreement. Most states will give a spouse a right of election of about one-third of a deceased spouse's estate unless such right is waived in the nuptial agreement.

If one of you expects to inherit money or other assets, you may want to keep your inheritance separate, but most states will consider it marital property to be divided at divorce, unless you have a nuptial agreement. These agreements can be written after marriage, but are much easier to work out ahead of time.

For a prenuptial agreement to be legally binding, each of you must have your own independent lawyer and each must fully disclose all of your assets and liabilities. Prenuptial agreements shouldn't be viewed as planning for a marriage to fail. They're just good common sense.